UCLA

ANDERSON SCHOOL OF MANAGEMENT

SURBHI KAUL

VP, Product Management, Cisco Systems



PRODUCT MANAGEMENT FOR MSBA

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UCLA

LECTURE 4



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RECAP

- JTBD & Customer Focus
- PMF & Differentiation
- PRD Fundamentals
- Value Prop, KPIs & Metrics
- PRD Assignment?
- Questions?



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INTRODUCTION TO PRODUCT MANAGEMENT

- MINIMUM VIABLE PRODUCT (MVP)
- LAUNCH & MARKETING
- PRODUCT POSITIONING
- PRICING & MONETIZATION
- SALES ENABLEMENT
- GUEST SPEAKER



THE 5 ACT INTERVIEW

“HOOKED” BY NIR AYAL

THE BEST STORY WINS

“THINKING FAST & THINKING SLOW” BY DANIEL KAHNEMAN

“MVP IS NOT A PRODUCT IT’S A PROCESS” article by Jim Birkman

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STRATEGY & EXECUTION

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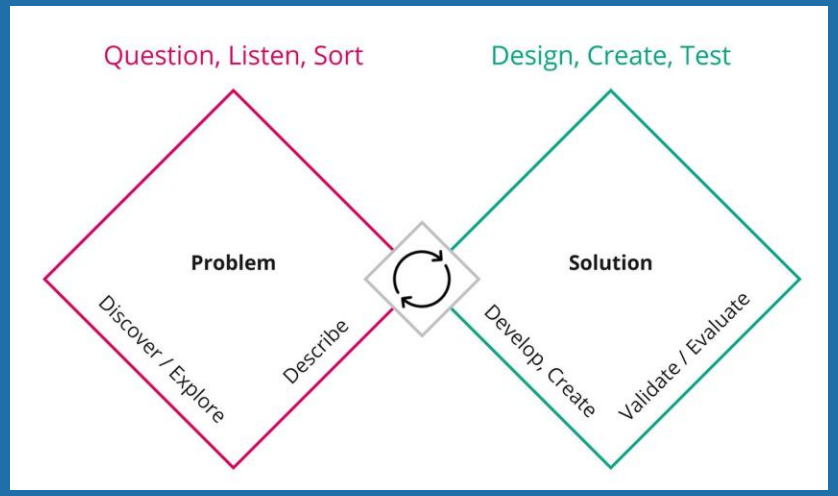
theme one

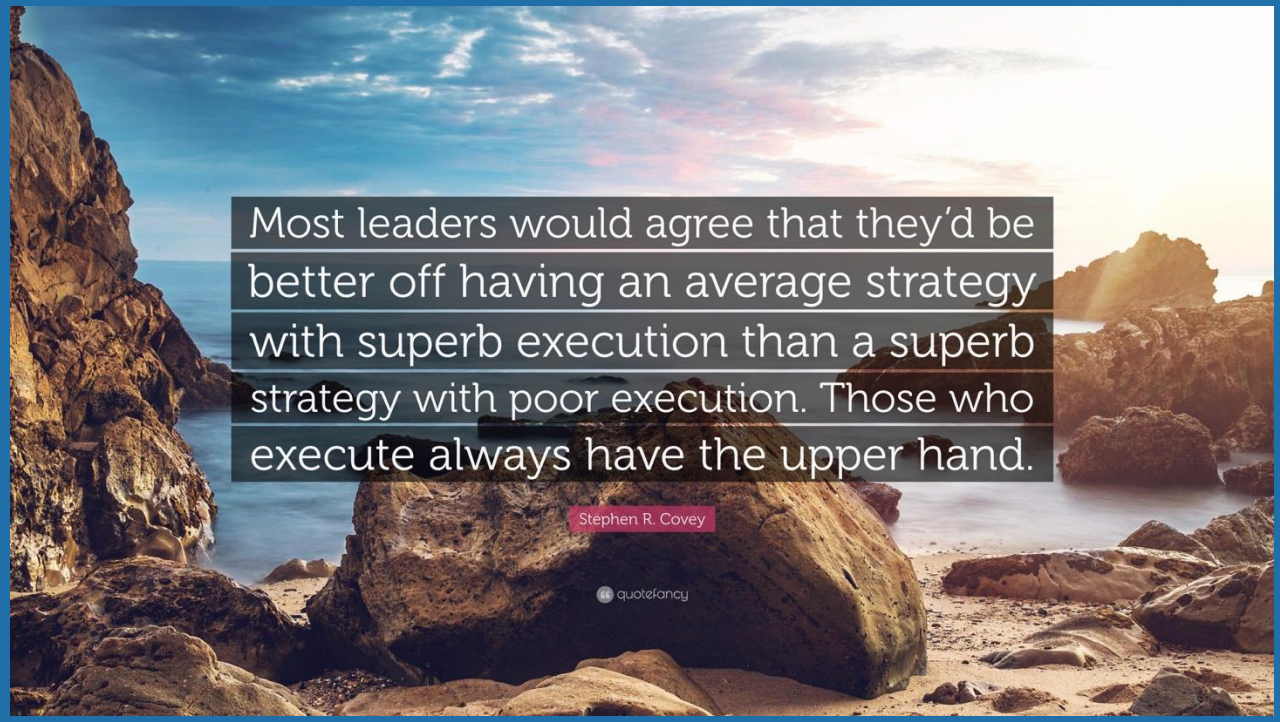
strategy + execution

> "A second-rate strategy perfectly executed will beat a first-rate strategy poorly executed."

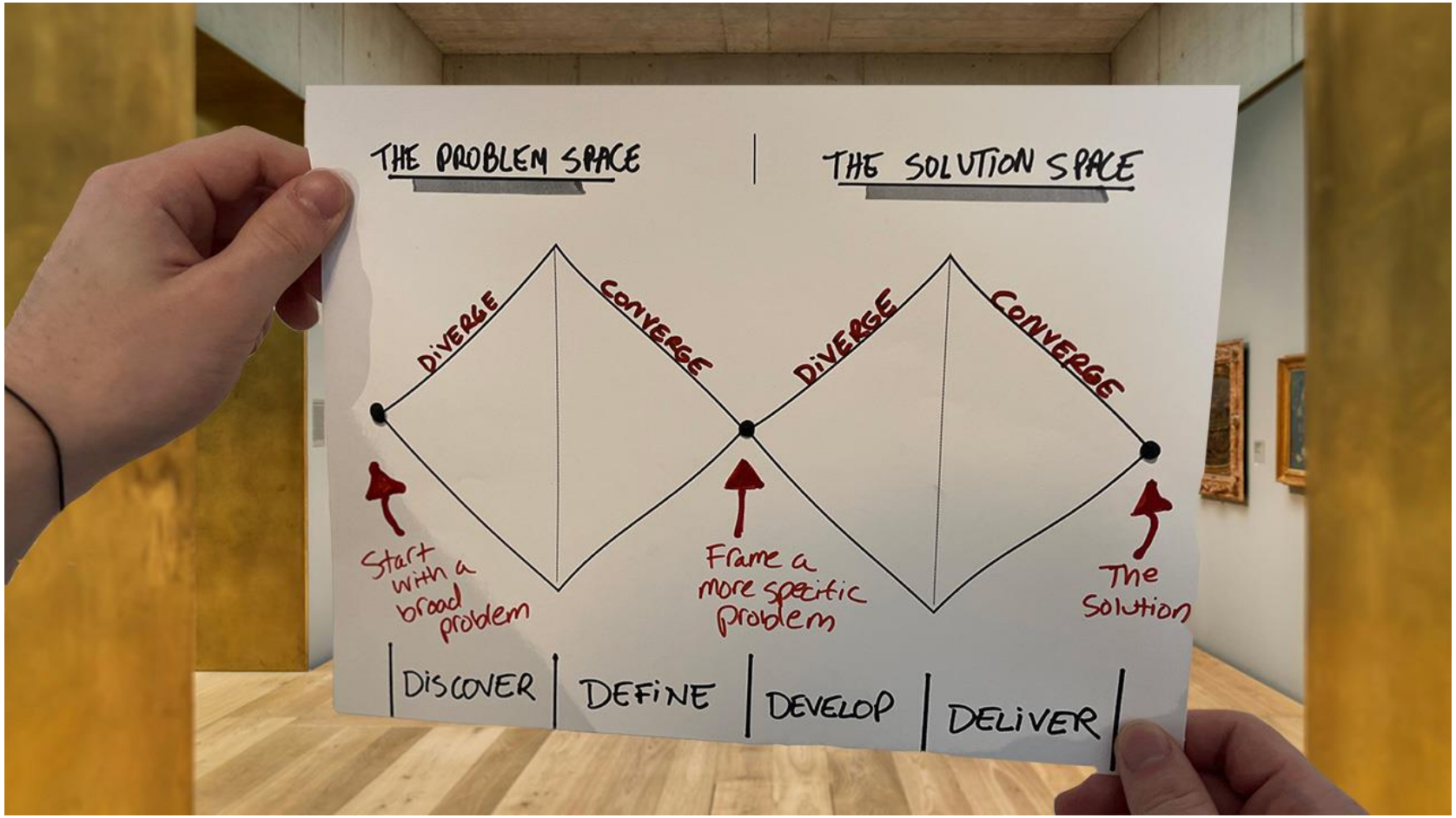
Dick Kovacevich
Former CEO



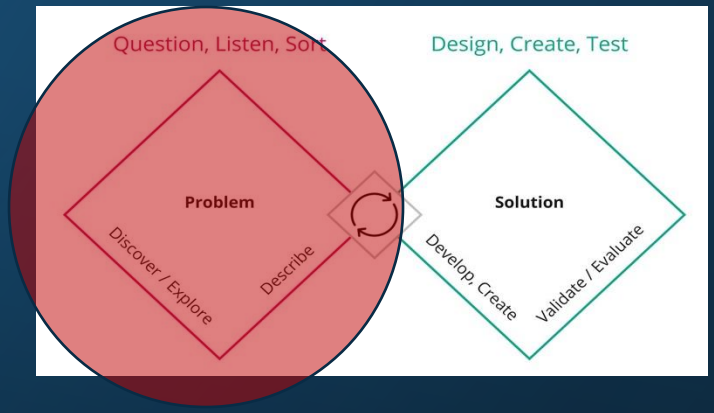

Question, Listen, Sort
Design, Create, Test
Problem
Solution
Discover / Explore
Describe
Develop, Create
Validate / Evaluate


Most leaders would agree that they'd be better off having an average strategy with superb execution than a superb strategy with poor execution. Those who execute always have the upper hand.
Stephen R. Covey
quotefancy

Design Thinking

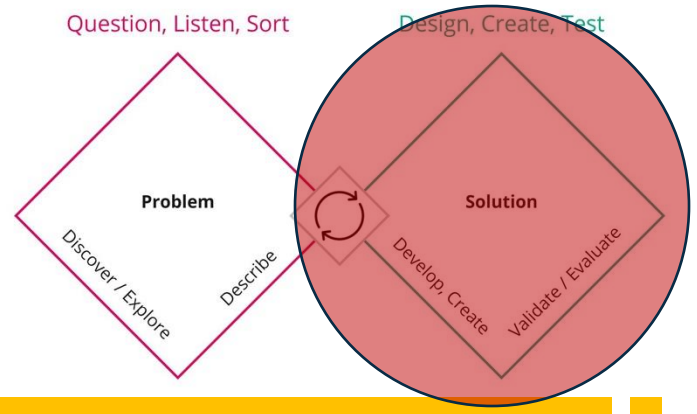


PRODUCT STRATEGY



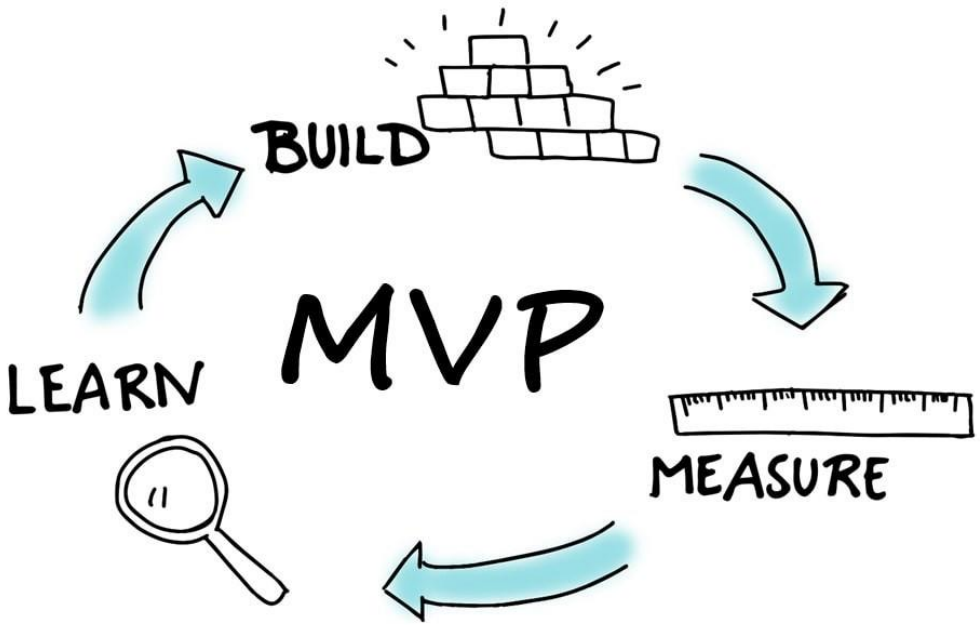
- Customer JTBD
- Market Segmentation
- Competitive Analysis
- Viable Solutions
- PRD & Wireframes

PRODUCT EXECUTION



- Build & Launch MVP
- Customer Feedback
- Iterate and Improve
- Complete Product
- Marketing & Sales

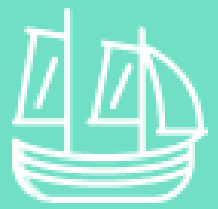






MINIMAL VIABLE PRODUCT

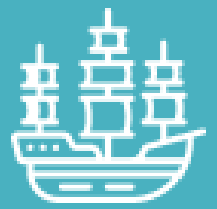
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M

Minimum

The most rudimentary, bare-bones foundation of the solution possible



V

Viable

Sufficient enough for early adopters



P

Product

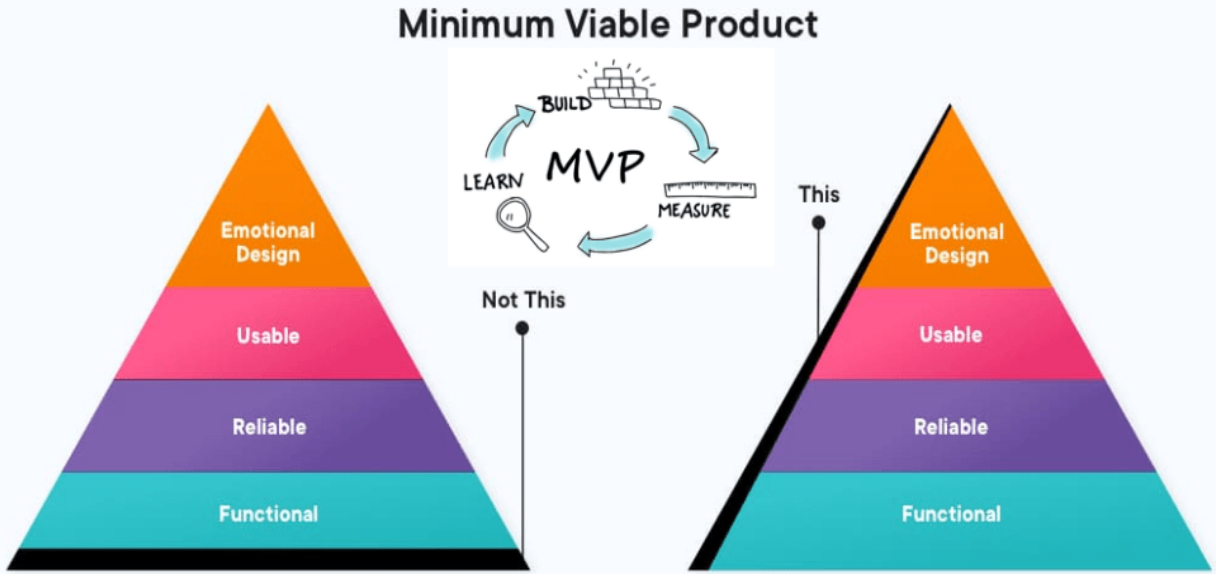
Something tangible customers can touch and feel


Purposes of MVP
To Enter the Market with a Small Budget
To Minimize Errors
To Create a Balance Between Company Offerings and Customer Needs
To Find the Right Audience
To Collect the Maximum Quality Feedback
SPACEO TECHNOLOGIES

MVP

A **Minimum Viable Product (MVP)**, is a version of a product that has the minimum set of features needed to satisfy early customers to validate a product idea/prototype

MVP is not just a compilation of only functional aspects but needs to have design, usability and customer experience aspects as well



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What are people saying

sacca
9:24pm, May 30 from Twitter for iPhone
I don't always take sedans, but when I do, I use @ubercab. Stay in need of transportation, my friends.

trammell
9:01pm, May 30 from Twitter for iPhone
Rolling in an @ubercab w/ @mm @robweychert. Hella-swanky, super-simple black car service on your iPhone. Feeling quite undeservedly baller.

twitter

As seen on

TechCrunch
cnet
TECH cocktail
FOX BUSINESS

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Free Shoes!

Congratulations to the November 24 winner,
Adriana Rodriguez of Oakland, CA

We will be giving away a FREE PAIR OF SHOES (up to $150 in store credit) every Wednesday until the year 2000!

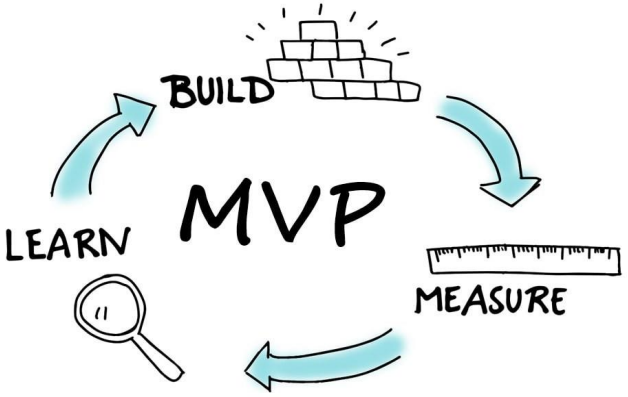
To enter become a registered user or send an email to freeshoes@zappos.com with your name and email address. A winner will be notified by email every Wednesday!

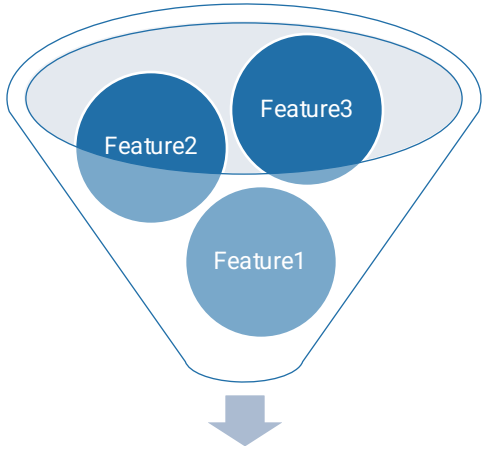
featured brands.

BOSTONIA
Sudini
rieker
L.B. Evans Men's Comfort

Zappos Special:
Free Shipping & No Sales Tax

women's dress | women's casual | women's athletic | men's dress | men's casual | men's athletic





MVP



BUILDING THE MVP IS MOST CRITICAL PART OF EXECUTION

VISION OF THE PRODUCT IS CUT DOWN TO THE MINIMUM THAT WOULD BE VIABLE FOR THE CUSTOMER

INVESTING THE LEAST AMOUNT OF RESOURCES YOU WANT TO ASSESS IF THE MARKET WILL LIKE WHAT YOU ARE BUILDING

THIS IS A CHANCE TO COURSE CORRECT BEFORE BUILDING THE FINAL PRODUCT

EARLY ADOPTERS WILL GIVE YOU FEEDBACK TO RESPOND TO WITH IMPROVED OR NEW FEATURES

Building your Minimum Viable Product helps you test the market & course correct to ensure you can Cross the Chasm & reach a much larger customer base.

PRIOROTIZATION



FEATURES



MVP



PHASED APPROACH

Product Features Prioritization Scorecard with Impact and ROI

	End User			Buyer			Development		
Product Feature	Ease of Use	Impact	Solves Problem	ROI	Value Add	Technical	Difficulty	Feasibility	Effort
Weighting	15%	15%	20%	10%	15%	5%	10%	5%	5%
Data Analysis	2	3	4	6	6	9	7	8	7
Third party integration	3	6	8	6	7	7	3	8	6
Remote login	8	6	6	6	7	7	6	5	7
Your Text Here	9	8	6	5	6	4	2	3	4
Your Text Here	5	4	6	6	5	4	10	8	3
Your Text Here	1	2	2	3	2	5	2	3	1
Your Text Here	1	2	2	3	1	4	3	5	4

Priority High Medium Low

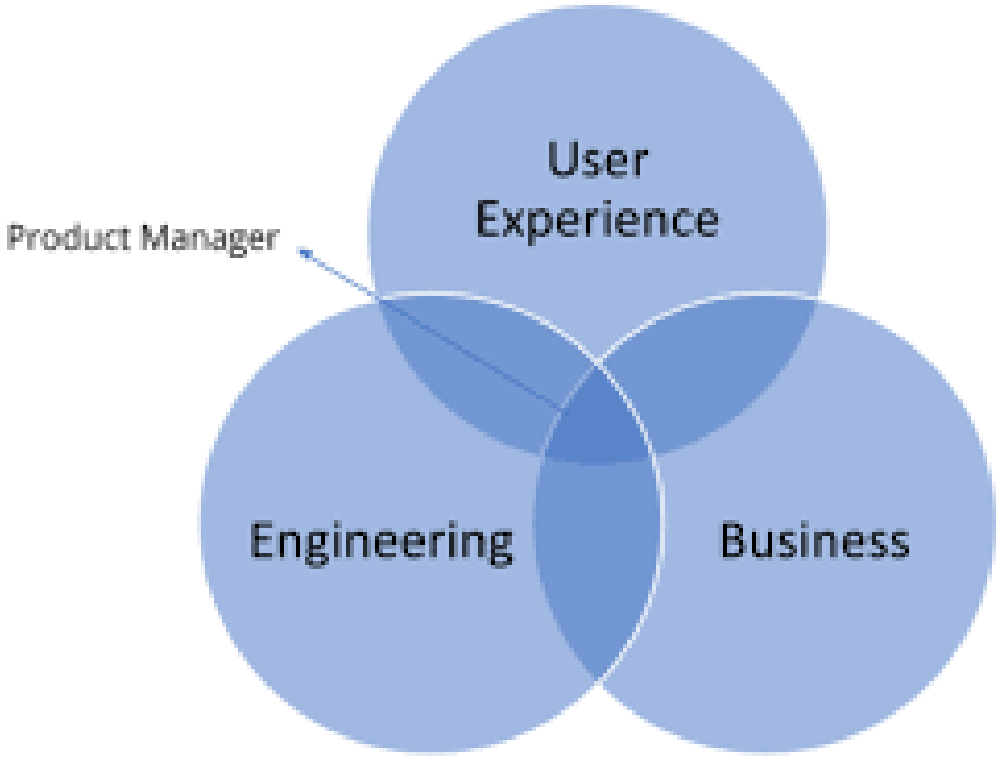
ROI : Return On Investment



PRODUCT DESIGN & DEVELOPMENT

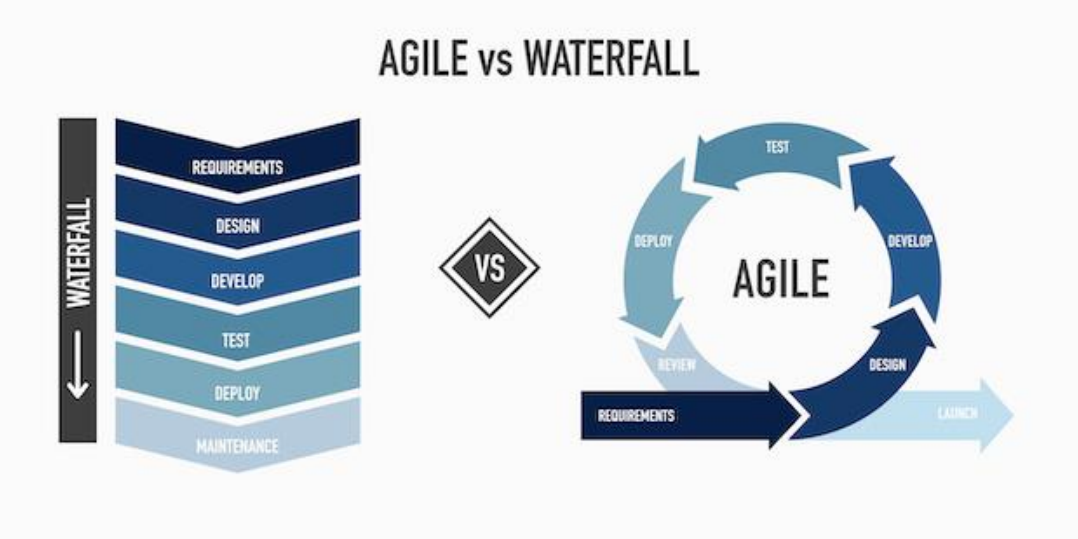
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EXECUTION



- Product Manager has to work closely with Eng and Design during development of Product
- PM also has to make sure they are keeping the Business KPIs front and center as Product is being built

DEVELOPMNET PROCESS



- Two types of Product Dev processes
- One is more static and linear (Waterfall) while the other approach is more iterative (Agile)
- S/W and SaaS products fall in the Agile category
- Hardware and manufacturing fall in Waterfall category – fixed cost aspects and procurement

SCRUM & SPRINT



- Scrum Teams prioritize requirements based on customer value and risk analysis.
- The focus is on developing a primary working product that can be released to market to gather early customer feedback.
- Scrum development is characterized by fewer costly defects, team efficiency, and a **fail-fast** approach that saves money in the long run.

Implement and iterate

Coding & Implementation	Launch MVP	Collect User Feedback	Iterate & Improve
Begin coding and implementing the final design into a working product that meets the audience's needs and wants.	Launch the minimum viable product to begin getting user feedback.	Collect feedback from users to understand what is working and what can be improved.	Use the user feedback to iterate and improve the product over time.





Test early and often

- Conduct user testing early in development
- Get feedback from target users on initial mocks and prototypes before coding to identify issues.

- Iterate based on user feedback
- Use insights from early user testing to refine and improve the design and features.

- Confirm designs solve user needs
- Conduct additional user tests on iterations to ensure the product delivers value.

- Analyze and apply test results
- Collect feedback, analyze results, and continuously improve the product based on user input.





PRICING & MONITIZATION

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Pricing 101

TARGET MARKET RESEARCH

- Preferences, needs and behaviors of your target segment

RESOURCES & COGS

- People and Production cost
- Overhead Costs

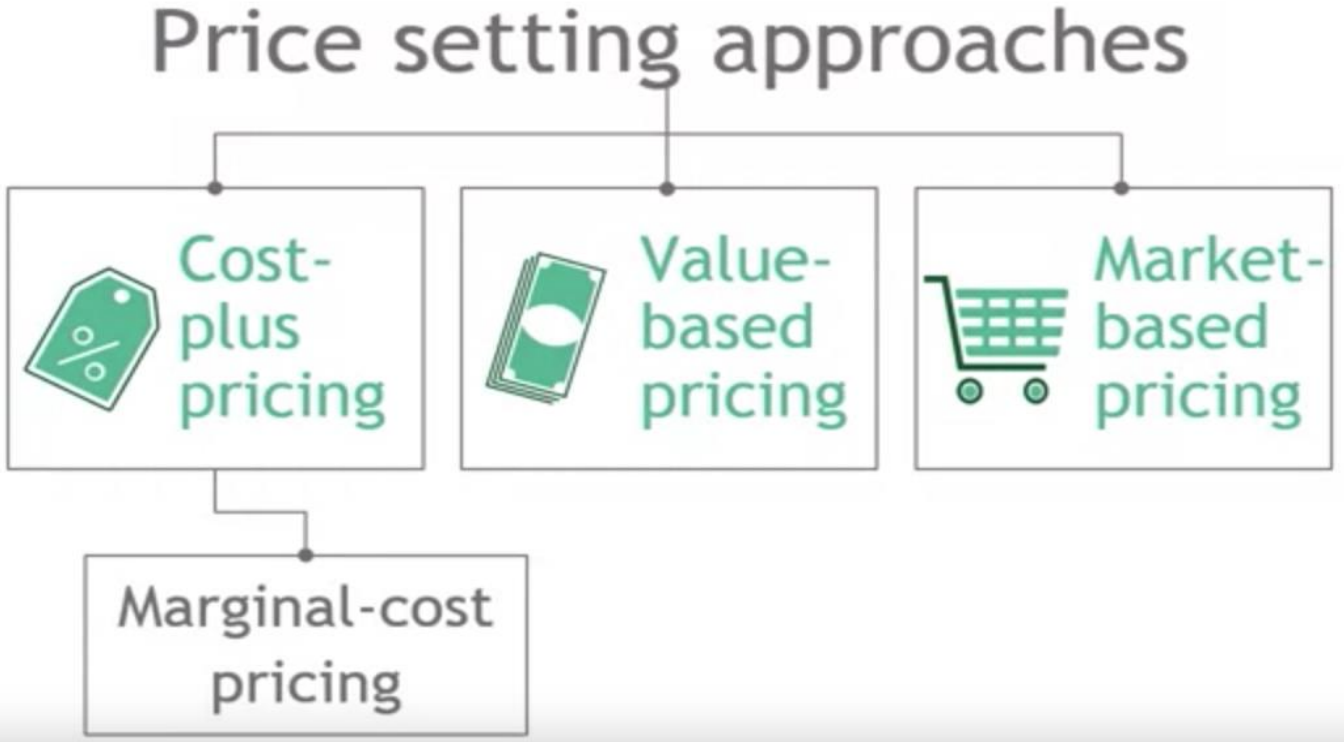
PROFITABILITY/MARGINS

- Physical vs. Digital
- Perceived value



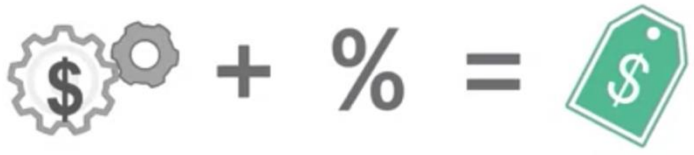
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Three main approaches to setting prices



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Cost-plus pricing



Full cost per unit + Markup = Selling price

Seller is *Price setter*

Buyer is *Price taker*

Example calculation

$100 + 20% = $120

Full cost per unit + Markup = Selling price

$$\left(\frac{\text{Total variable cost} + \text{Total fixed cost}}{\text{Quantity}}\right)$$

Advantages

- Simple to execute
- Guarantees targeted margin
- Intuitively understandable
- Easy to defend

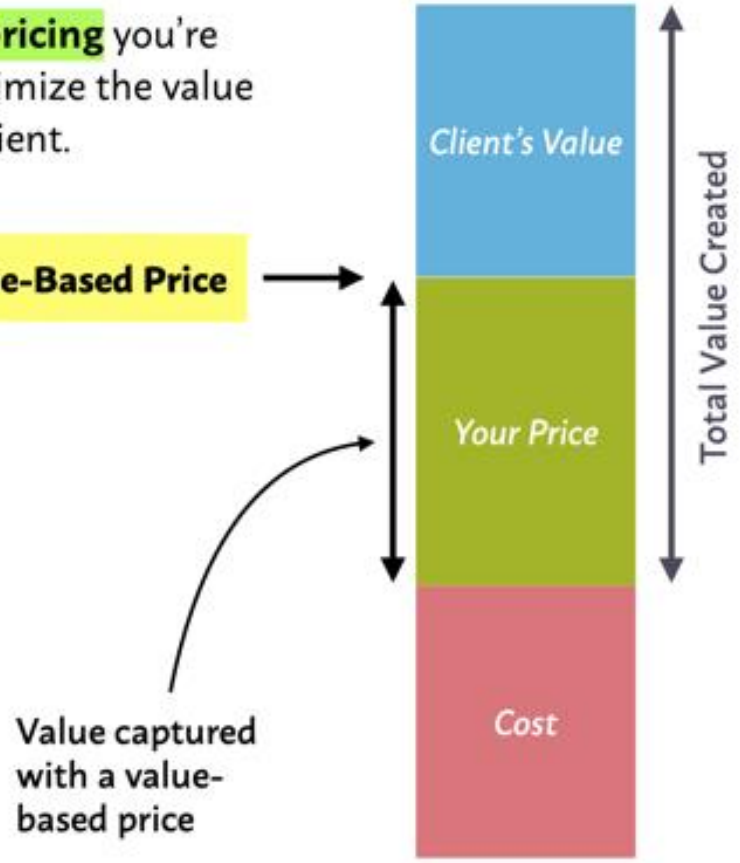
Disadvantages

- Usually leads to sub-optimal pricing
- Promotes cost inefficiency
- Ignores opportunity cost
- Uses historical cost rather than current or future replacement value

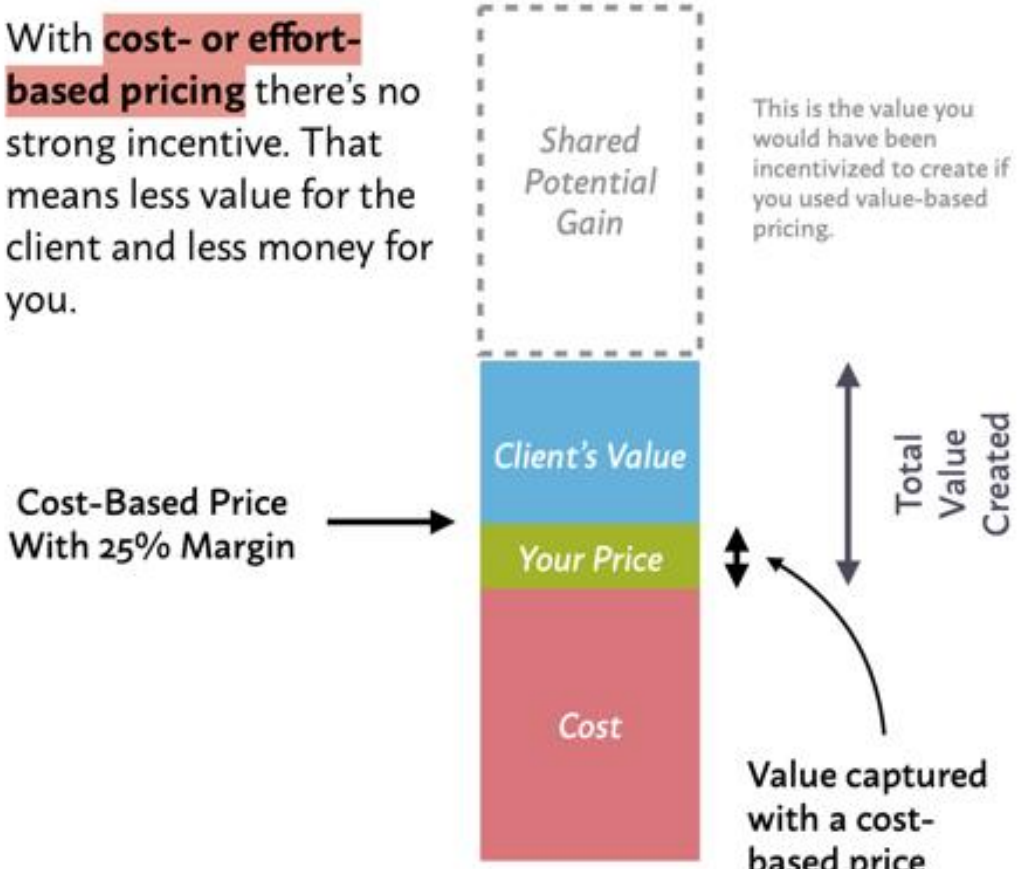
Value-Based vs. Cost-Based Price

With **value-based pricing** you're incentivized to maximize the value you create for the client.

Good Point for Value-Based Price



With **cost- or effort-based pricing** there's no strong incentive. That means less value for the client and less money for you.



COST BASED or VALUE BASED?



Startups and small businesses (non-category creator)



Luxury Retail & Consumer items



Commoditized markets



Drop shipping businesses



Customized or personalized products



Online marketplaces

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NICHE MARKETS



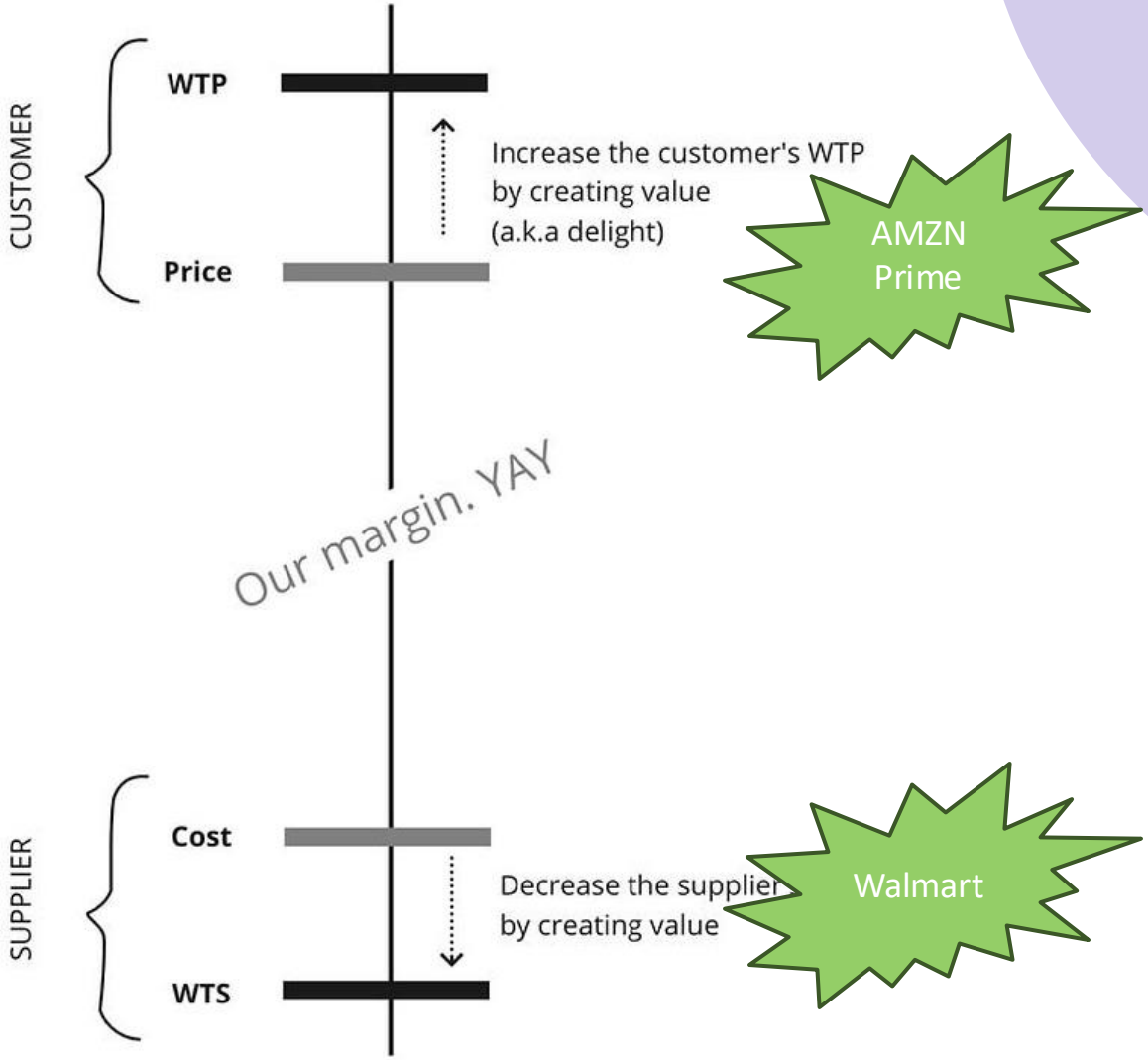
LUXURY BRANDS



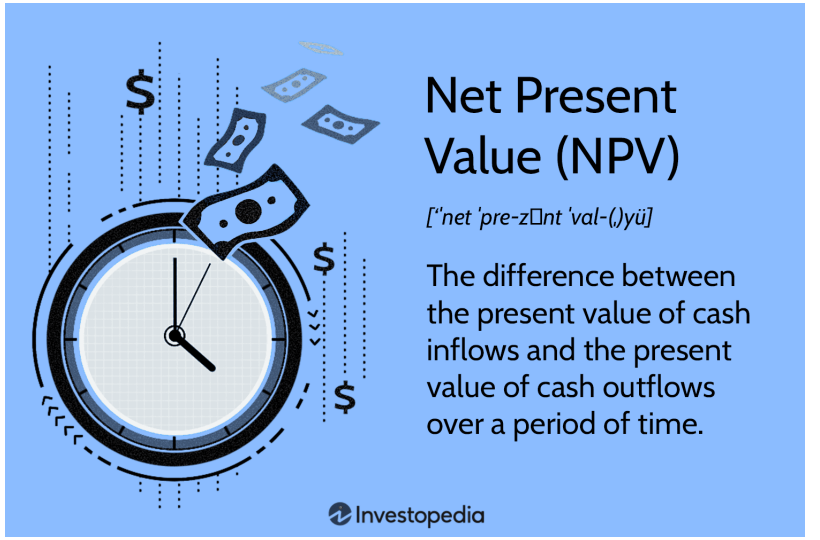
DIFFERENTIATED PRODCUTS

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The Value Stick



DECIDING BETWEEN PRODUCTS, FEATURES, M&A



Capital Budgeting

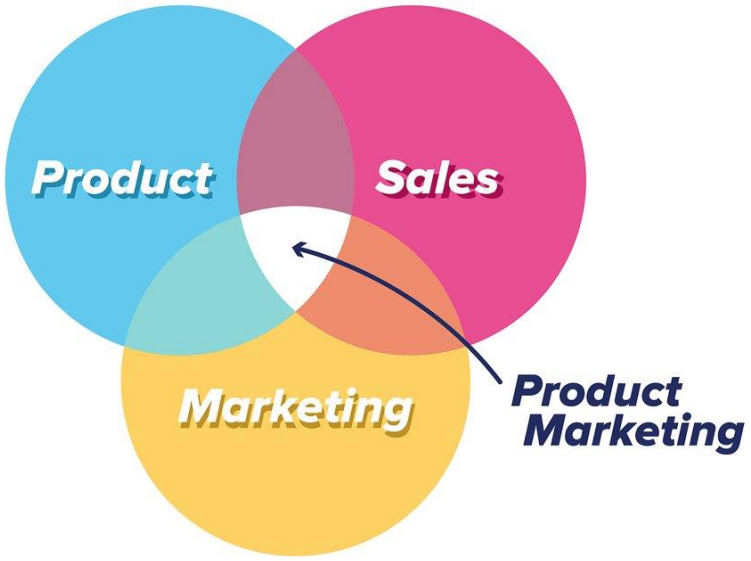
Weighted Average Cost of Capital	0.1		
	0	1	2
Cash Flows (Project A)	(1,000,000.0)	300,000.0	300,000.0
Discount Rate	1.00000	1.10000	1.21000
Present Value of Cash Flows		330,000.0	363,000.0
Net Present Value	**5,363,060.0**		
	0	1	2
Cash Flows (Project B)	(1,000,000.0)	250,000.0	250,000.0
Discount Rate	1.00000	1.10000	1.21000
Present Value of Cash Flows		275,000.0	302,500.0
Net Present Value	**7,663,325.0**		

SALES
& MARKETING



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ENGAGING WITH MARKETING & SALES



Marketing and sales work simultaneously to achieve the company's objectives; without marketing, the company cannot capture its potential customers, and without sales, it ceases to exist.

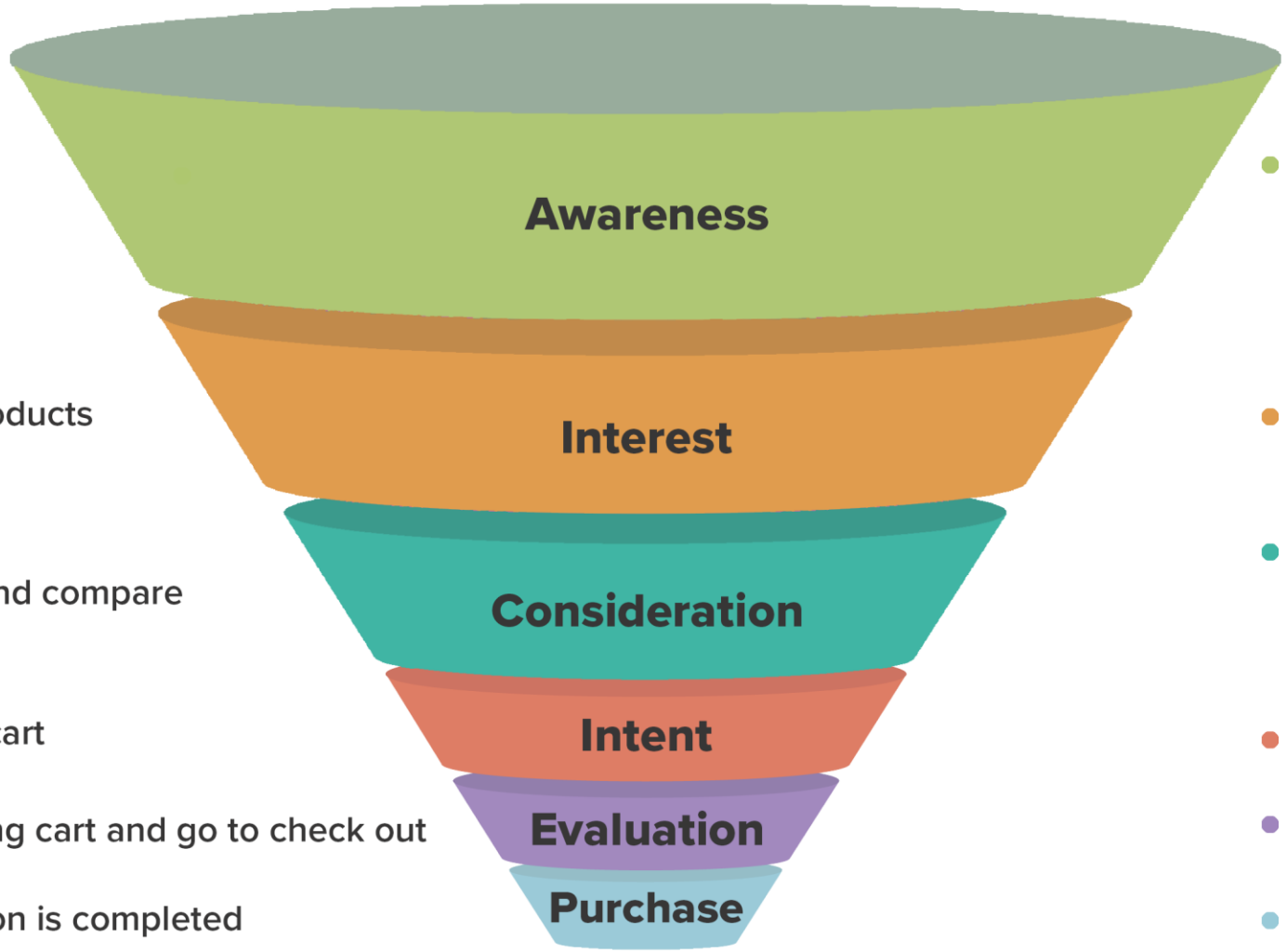
Product marketing teams are responsible for bringing products to market and championing their success and adoption.

PMs need to engage with Sales & Marketing in advance to ensure they are part of the Go To Market planning from the very initial stages.

The Marketing Funnel: B2C vs. B2B

B2C

- Search for information
- Learn about products
- Read reviews and compare products
- Put product in cart
- Review shopping cart and go to check out
- Sales transaction is completed



B2B

- Search for information
- Buyers examine specific product and reviews
- Buyers share research on products and brands with other stakeholders
- Buyer gets product demo
- Buyer gets contract proposal
- Sales transaction is completed

Two Species of Decision Makers

Homo Economics



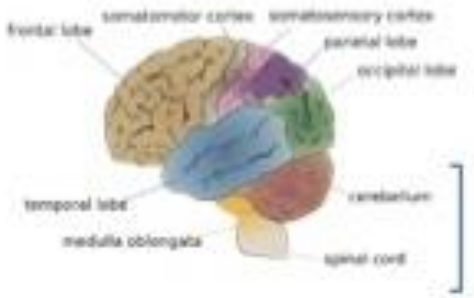


Infinitely sensitive, incredibly smart

Maximizes across all decisions.
Knows precisely what he wants,
and knows exact tradeoffs

Homo Sapiens

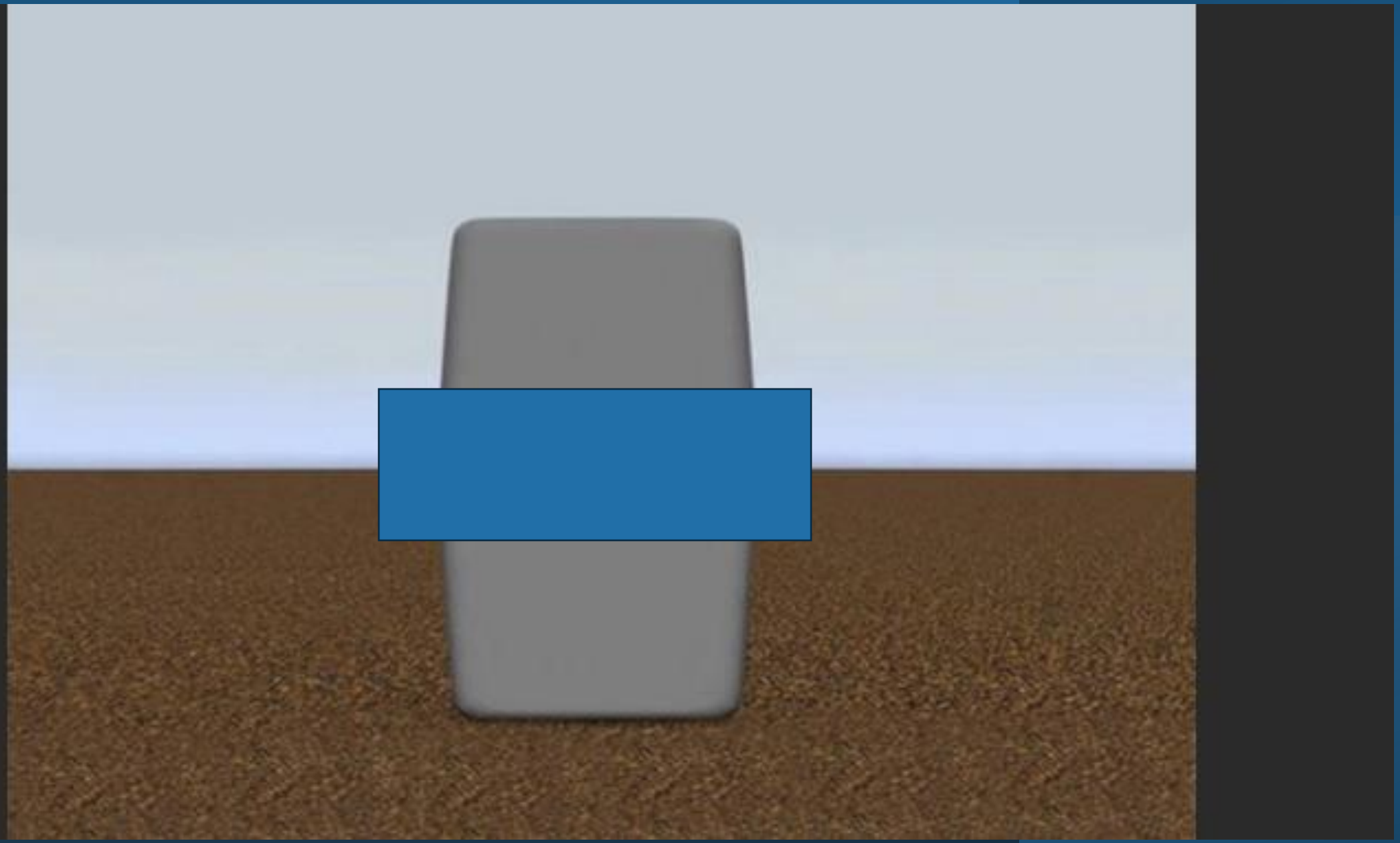




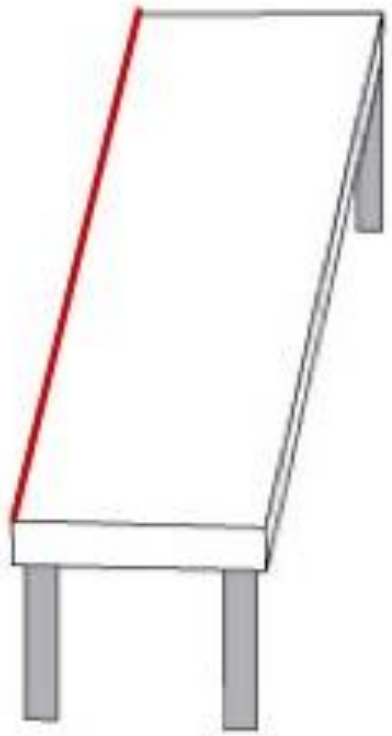
Limited processing capacity: memory, attention, will

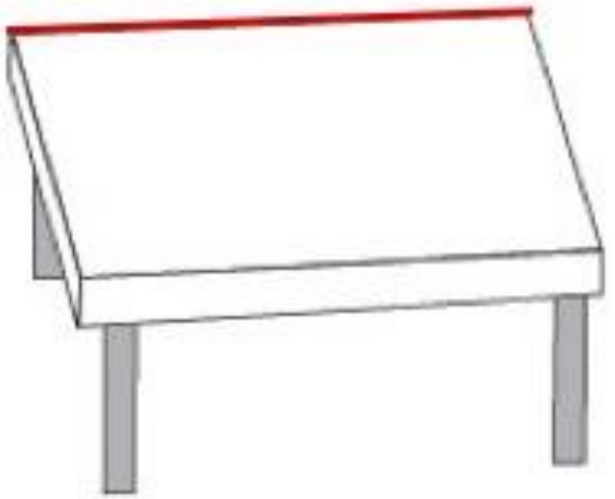
Satisfices: Aims for "acceptable" performance

Which tile is Darker?



Which table appears to be longer?





Which glass has more?



Marketing Implications

Product Roll-Outs

Keeping old inferior options on the market can steer consumers to a newer, superior, and higher priced item.

Similarly, very high end (and overpriced) items can be used to drive sales of a compromise option.



QUIZ #4





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FINAL PRD & PRESENTATIONS!



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FINAL PRD

- Product Value Proposition
- Problem Statement
- Market Size, Competitive Landscape
- Wireframes
- MVP
- Pricing
- Functional & Technical specs
- Data Analytics
- Experimentation
- Success Metrics & KPIs

GUEST SPEAKER: PAUL JOSEPH



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Paul Joseph

Paul Joseph is the Founder and Chief Product Officer of a startup dedicated to enhancing workforce management and operational efficiency within the construction industry. He gained comprehensive insights into construction by actively working as a contractor, which enabled him to identify critical operational gaps and develop targeted solutions.

With a robust background in Networking Technologies, Paul has accumulated extensive experience as a Product Manager in both established corporations and startup environments. His unique trajectory includes a strategic pivot into construction technology, where he applied his technical expertise to launch a software startup aimed at addressing industry-specific challenges. Paul did his graduate coursework in Computer Science and has an undergraduate degree in Electrical Engineering, equipping him with a solid foundation in both theoretical and practical aspects of his ventures.



Thank You



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